

Faropoint's thesis | Underwriting the corridor

Two Northeast/Mid-Atlantic markets, two different reasons for conviction — and a 2026 track record of acting on it.

The house view: Northern New Jersey

Faropoint's research team rates Northern New Jersey **Over-weight** among Gateway markets — near-term rent softness more than compensated by the widest Treasury spread in the set.

Northern New Jersey · Gateway market

OVER-WEIGHT

\$1.57B

FarOS H1 2026 volume seen, 141 deals (-4.7% QoQ)

6.3% / 7.2%

In-place / untrended cap rate, 20–100K SF

+185 bps

Treasury spread — widest of Faropoint's three Gateway markets

5.9%

Vacancy, 20–100K SF (+23 bps QoQ)

-2.3%

LTM rent growth — the near-term softness being priced

+2.62%

Expected 2-yr rent growth (2026–27) — the recovery being underwritten

"FarOS volume seen" reflects deal flow tracked by Faropoint's sourcing platform across the market, not Faropoint's own closings. Source: Faropoint Research, *Market Pulse H1 2026*, House View — Gateway Markets.

Gateway vs. Value: two markets, two theses

Faropoint House View — Northeast & Mid-Atlantic markets, H1 2026 (20–100K SF)

MARKET	FAROS DEALS	FAROS VOLUME	IN-PLACE CR	UNTRENDED CR	TSY SPREAD	VACANCY	LTM RENT GR.	EXP. 2-YR GR.	HOUSE VIEW
Northern New Jersey	141	\$1,573M	6.3%	7.2%	+185 bps	5.9%	-2.3%	+2.62%	Over-weight
Philadelphia	90	\$721M	6.2%	7.4%	+182 bps	4.6%	+7.8%	+2.88%	Under-weight

Northern New Jersey (Gateway) is Over-weight on pricing despite softer rents. Philadelphia (Value) is Under-weight despite the stronger rent print — its leasing spreads compressed sharply as outsized COVID-era gains normalize. Source: Faropoint Research, *Market Pulse H1 2026*.

Faropoint's New Jersey acquisition footprint, 2026 YTD

TOTAL DEPLOYED
\$65.5MTRANSACTIONS
5BUILDINGS ACQUIRED
5AVG. DEAL SIZE
\$13.1MAVG. BUILDING SIZE
~60,000 SF

No. 1 buyer in the market by deal count. Across 51 tracked NJ industrial, land and IOS deals in 2026 YTD, Faropoint led every buyer with 5 deals (9.8% of all deals; 19.2% of industrial-only). By dollar volume it ranks #11 (\$65.5M, 3.2%) — a high-frequency, smaller-check strategy, not one built around trophy deals like Goodman's \$360.0M Anheuser-Busch land buy.

NJ industrial only — Fund-level and other Mid-Atlantic totals unavailable this session.

The thread. The port drives regional industrial demand — shallow bay captures a disproportionate, structurally protected share of it — and Faropoint holds its highest Northeast conviction there, backed by a 2026 record as the market's No. 1 buyer by deal count.